MACRO ECONOMICS - PYQS

1. Read the following Assertion (A) and Reason (R) carefully and choose the correct option. (SSC CGL TIER I - 15/09/2025 - SHIFT 1)

Assertion (A): The Mahalanobis strategy prioritized heavy industries and capital goods.

Reason (R): It was believed that investing in such industries would create long-term capacity for growth.

a. Both A and R are true and R is the correct explanation of A.

b. Both A and R are true but R is not the correct explanation of A.

c. A is true but R is false.

d. A is false but R is true.

Answer: A

Explanation: The Mahalanobis strategy prioritized heavy industries and capital goods, forming the basis of the Second Five-Year Plan (1956–61), with projects like steel plants at Bhilai, Durgapur, and Rourkela. The reason is correct because investing in capital goods industries was intended to build long-term growth capacity, accelerate capital formation, and promote self-reliance.

2. Which Five-Year Plan focused on heavy industries? (SSC CGL TIER I - 17/09/2025 - SHIFT 1)

a. First

b. Second

c. Third

d. Fourth

Answer: B

Explanation: The Second Five-Year Plan (1956–61) prioritized rapid industrialization through heavy industries and infrastructure, guided by the Mahalanobis model. Its objective was to build a strong industrial base, expand the public sector, and promote a socialist pattern of society, including setting up steel plants at Bhilai, Rourkela, and Durgapur.

3. Read the following Assertion (A) and Reason (R) carefully and choose the correct option. (SSC CGL TIER I - 17/09/2025 - SHIFT 1)

Assertion (A): Self-reliance was a major objective of India's early planning era.

Reason (R): India sought to reduce dependence on foreign aid and imports post-independence.

a. Both A and R are true and R is the correct explanation of A.

b. Both A and R are true but R is not the correct explanation of A.

c. A is true but R is false.

d. A is false but R is true.

Answer: A

Explanation: India's early Five-Year Plans emphasized self-reliance through Swadeshi and import substitution. This approach aimed to reduce dependence on foreign goods, capital, and aid after independence. Minimizing

external reliance directly explains the focus on self-reliance in national planning.

4. The Mahalanobis Model was used in which plan? (SSC CGL TIER I - 17/09/2025 - SHIFT 3)

a. First

b. Second

c. Fourth

d. Fifth

Answer: B

Explanation: The Mahalanobis Model formed the basis of India's Second Five-Year Plan (1956–61). It emphasized rapid industrialization through heavy and basic industries led by the public sector. The objective was to build a strong, self-reliant industrial base for long-term economic growth.

5. What is the correct chronological sequence of these Five-Year Plans? (SSC CGL TIER I - 18/09/2025 - SHIFT 1)

1. Second Plan
2. Fourth Plan
3. Sixth Plan

a. 1, 2, 3

b. 2, 1, 3

c. 3, 2, 1

d. 1, 3, 2

Answer: A

Explanation: The Second Plan was from 1956–61, the Fourth Plan from 1969–74, and the Sixth Plan from 1980–85.

6. What was the main rationale for the policy of import substitution during the first seven Five Year Plans? (SSC CGL TIER I - 20/09/2025 - SHIFT 1)

a. Expand international trade

b. Attract foreign investors

c. Protect infant domestic industries

d. Create export dependency

Answer: C

Explanation: Import substitution in India's early Five-Year Plans aimed to protect infant domestic industries from foreign competition. High tariffs and quotas were used to help these industries grow and achieve self-reliance. The strategy sought to build a diversified industrial base and ensure economic independence.

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7. What was the primary aim of import substitution policy in India's early planning era? (SSC CGL TIER I - 20/09/2025 - SHIFT 2)

a. Promote export-led industrialization

b. Encourage foreign capital inflow

c. Replace foreign imports with domestic production

d. Liberalize trade barriers

Answer: C

Explanation: India's import substitution policy aimed to promote domestic production of previously imported goods. It pursued self-reliance, industrial development, and conservation of foreign exchange reserves. High tariffs and import quotas were used to protect infant industries from global competition.

8. What was the main focus of the First Five-Year Plan? (SSC CGL TIER I - 24/09/2025 - SHIFT 3)

a) Heavy industries

b) Agriculture

c) Urbanization

d) Information Technology

Answer: B

Explanation: The First Five-Year Plan (1951–56) was based on the Harrod–Domar model. It focused on tackling food shortages, inflation, and post-independence economic instability through agriculture and irrigation. Major projects like Bhakra–Nangal, Damodar Valley, and Hirakud were launched to boost food self-sufficiency.

9. Who is known as the architect of India's Five-Year Plans? (SSC CGL TIER I - 25/09/2025 - SHIFT 1)

a) Sardar Patel

b) Jawaharlal Nehru

c) B.R. Ambedkar

d) P.C. Mahalanobis

Answer: D

Explanation: P.C. Mahalanobis is regarded as the architect of India's Five-Year Plans, especially the Second Five-Year Plan (1956–61). He designed the Mahalanobis model, which emphasized rapid industrialization through heavy industries.

10. According to Mahalanobis strategy, growth should primarily be driven by investment in: (SSC CGL TIER I - 25/09/2025 - SHIFT 1)

a) Agricultural inputs

b) Consumer goods sector

c) Capital goods sector
d) Import-led services sector
Answer: C
Explanation: The Mahalanobis strategy emphasized growth through heavy investment in the capital goods (heavy industries) sector. This was intended to build a strong industrial base and reduce dependence on imported machinery. Though consumer goods growth was slower initially, it aimed at higher, self-reliant long-term growth.

11. What was the main focus of India's Sixth Five-Year Plan (1980-1985)? (SSC CGL TIER I - 26/09/2025 - SHIFT 3)
a) Heavy industrialization and capital goods
b) Food self-sufficiency through agriculture
c) Poverty alleviation and modernization of technology
d) Economic liberalization and globalization
Answer: C
Explanation: The Sixth Five-Year Plan (1980–85) emphasized poverty alleviation and employment generation through programs like IRDP and NREP. It focused on technological modernization, higher productivity, and partial economic liberalization. The plan also strengthened infrastructure and rural development, including the establishment of NABARD.

12. Which plan introduced the Minimum Needs Programme? (SSC CGL TIER I - 19/09/2025 - SHIFT 3)

a) Third
b) Fourth
c) Fifth
d) Sixth
Answer: C
Explanation: The Minimum Needs Programme was launched during the Fifth Five-Year Plan to ensure a basic standard of living for the poor. It focused on essential services such as education, health, water supply, housing, nutrition, and rural infrastructure. The programme supported the plan's broader goals of poverty alleviation and self-reliance.

13. Which plan gave prominence to the Industrial Policy Resolution of 1956, emphasizing the 'commanding heights' doctrine? (SSC CGL TIER I - 23/09/2025 - SHIFT 1)

a) First Five Year Plan
b) Second Five Year Plan
c) Third Five Year Plan

d) Fourth Five Year Plan

Answer: B

Explanation: The Second Five-Year Plan (1956–61) emphasized rapid industrialization with a focus on heavy and capital goods industries. It was based on the Mahalanobis model, which promoted state-led investment to build a strong industrial base. The IPR 1956 classified industries into schedules to secure public sector control over the commanding heights of the economy.

14. The rolling plan concept was introduced during the Prime Minister's tenure? (SSC CGL TIER I - 23/09/2025 - SHIFT 3)

a) Jawaharlal Nehru

b) Indira Gandhi

c) Morarji Desai

d) Rajiv Gandhi

Answer: C

Explanation: The Rolling Plan was introduced during Morarji Desai's tenure after the Fifth Five-Year Plan was terminated in 1978. It adopted a flexible approach by revising targets annually based on prevailing economic conditions. The plan was abandoned in 1980 when Indira Gandhi returned to power and launched the Sixth Five-Year Plan.

15. In the context of Five Year Plans, what does the term " plan holiday" refer to ? (SSC CGL TIER I - 20/09/2025 - SHIFT 3)

A. Emergency loan disbursements

B. Suspension of annual budget

C. Discontinuity in five-year planning

D. Switch from socialism to capitalism

Answer: C

Explanation: In the Indian planning context, a Plan Holiday refers to the period 1966–1969 when regular Five-Year Plans were suspended and replaced by Annual Plans due to economic crises arising from wars, droughts, inflation, and resource constraints.

16. The Green Revolution in India was introduced during which plan?(SSC CGL TIER I - 25/09/2025 - SHIFT 3)

A) Second

B) Third

C) Fourth

D) Fifth

Answer: B

Explanation: The Green Revolution in India began during the Third Five-Year Plan (1961–1966), gaining momentum around 1965. It focused on achieving food self-sufficiency through the use of HYV seeds, chemical fertilizers, and expanded irrigation. This strategy transformed India from a food-deficient country into a largely self-reliant food producer.

17. Under which Five Year Plan was the Green Revolution introduced in India? (SSC CGL TIER I - 25/09/2025 - SHIFT 3)

a) First Plan

b) Second Plan

c) Third Plan

d) Fourth Plan

Answer: C

Explanation: The Green Revolution in India began during the Third Five-Year Plan (1961–1966), which emphasized agricultural self-sufficiency. It introduced High-Yielding Variety (HYV) seeds, expanded irrigation, and increased use of fertilizers to boost food grain production. The initiative gained momentum around 1965, helping India overcome food shortages and move toward food security.

18. What was the aim of the Sixth Plan (1980–85)? (SSC CGL TIER I - 26/09/2025 - SHIFT 2)

a) Defense expansion

b) Faster industrialization

c) Poverty reduction and modernization

d) Export-led growth

Answer: C

Explanation: The Sixth Five-Year Plan (1980–1985) aimed to accelerate economic growth while reducing poverty and unemployment and promoting modernization and self-reliance. It marked a shift toward a more pragmatic approach combining growth with social justice. Major programmes like IRDP and NREP were launched to directly address rural poverty and employment generation.

19. The National Rural Employment Programme (NREP) was initiated in the: (Graduate- 26/07/2025 - SHIFT 3)

A) Fifth Plan

B) Sixth Plan

C) Seventh Plan

D) Eighth Plan

Answer: B

Solution: The National Rural Employment Programme (NREP) was launched in 1980–81 under the Sixth Five-Year Plan (1980–85) to provide employment in rural areas and create productive community assets like roads

and school buildings, supporting poverty alleviation.

20. The District Industries Centers (DICs) were established during the _____ Five-Year Plan. (Graduate- 28/07/2025 - SHIFT 3)

A) Fifth

B) Sixth

C) Seventh

D) Eighth

Answer: A

Explanation: The District Industries Centres (DIC) programme was launched in 1978 under the Industrial Policy of 1977. Introduced at the end of the Fifth Five-Year Plan (1974–78), its main aim was to create a single district-level agency to promote small, cottage, and village industries at the district level. Its objective was to generate employment and reduce regional disparities, especially in rural and backward areas.

21. Which of the following foreign countries assisted India in the establishment of heavy industries during the Second Five-Year Plan? (Graduate- 24/07/2025 - SHIFT 3)

A) USA, Japan, and UK

B) Soviet Union, UK, and West Germany

C) China and Bangladesh

D) France and New Zealand

Answer: B

Solution: During the Second Five-Year Plan (1956–61), India set up major public sector steel plants to promote rapid industrialization. Bhilai was built with Soviet assistance, Durgapur with British assistance, and Rourkela with West German assistance.

22. Who was the Finance Minister of India when the First Five-Year Plan was introduced? (Graduate- 30/07/2025 - SHIFT 3)

A) Morarji Desai

B) C.D. Deshmukh

C) T.T. Krishnamachari

D) John Mathai

Answer: B

Explanation: The First Five-Year Plan (1951–56) focused on agriculture to tackle food shortages and inflation. C.D. Deshmukh, Finance Minister from 1950 to 1956, oversaw its launch. The plan achieved higher-than-targeted growth and led to the establishment of institutions like the IITs.

23. Which of the following sectors received major attention in the 7th Five-Year Plan for creating more jobs? (Graduate- 30/07/2025 - SHIFT 3)

A) Heavy industries
B) IT sector
C) Small and Cottage industries
D) Oil and Gas sector
Answer: C
Solution: The Seventh Five-Year Plan (1985–90) focused on food, work, and productivity to boost growth and employment. It promoted large, small-scale, and cottage industries, especially rural handicrafts, to generate widespread jobs.

24. The Monopolies and Restrictive Trade Practices (MRTP) Act was introduced during the _____ Five-Year Plan period. (Graduate- 29/07/2025 - SHIFT 3)
a) First
b) Third
c) Fourth
d) Seventh
Answer: C
Explanation: The Monopolies and Restrictive Trade Practices (MRTP) Act was enacted in 1969 during India's Fourth Five-Year Plan (1969–1974). Its main objective was to prevent the concentration of economic power and to regulate monopolistic and restrictive trade practices.

25. The "Mahalanobis Committee" was primarily associated with the Five-Year Plan in India? (HS - 30/07/2025 - SHIFT 2)
A) First Five-Year Plan
B) Second Five-Year Plan
C) Third Five-Year Plan
D) Fourth Five-Year Plan
Answer: B
Explanation: The Mahalanobis Committee provided the analytical framework for India's Second Five-Year Plan (1956–1961), developed by statistician Prasanta Chandra Mahalanobis, emphasizing rapid industrialization, especially in basic and heavy industries, to promote long-term growth and self-reliance. The First Plan focused on agriculture using the Harrod-Domar model, the Third Plan emphasized self-reliance in both agriculture and industry (Gadgil Yojna), and the Fourth Plan aimed at growth with stability and correcting wealth concentration after economic crises.

26. Which Five-Year Plan is also called the Mahalanobis Plan? (HS - 31/07/2025 - SHIFT 2)
A) First Five-Year Plan
B) Second Five-Year Plan

C) Third Five-Year Plan

D) Fifth Five-Year Plan

Answer: B

Explanation: The Second Five-Year Plan (1956–1961) is known as the Mahalanobis Plan, based on the model developed by P. C. Mahalanobis. It emphasized rapid industrialization with a focus on heavy industries. Key achievements included the establishment of major steel plants at Bhilai, Rourkela, and Durgapur.

27. The First Five-Year Plan of India was launched in which year? (HS - 02/02/2025 - SHIFT 2)

A) 1947

B) 1950

C) 1951

D) 1955

Answer: C

Explanation: The First Five-Year Plan of India was launched in 1951, covering the period 1951–1956. It primarily focused on agriculture, irrigation, and energy, aiming to strengthen food production and lay the foundation for industrial growth under Prime Minister Jawaharlal Nehru.

28. Between 1947 and 1990, which type of economic system did India largely follow? (HS - 29/07/2025 - SHIFT 2)

A) Pure Capitalism

B) Pure Socialism

C) Mixed Economy

D) Laissez-faire Economy

Answer: C

Explanation: From 1947 to 1991, India followed a mixed economy combining features of capitalism and socialism. It was marked by public–private sector coexistence, central planning through Five-Year Plans, and extensive regulation under the Licence Raj.

29. Consider the following statements: (STENO - 07/08/2025 - SHIFT 2)

Statement I: The objective of "Growth with Social Justice & Equality" was introduced in the 10th Five-Year Plan.

Statement II: The first Five-Year Plan was based on the "Harrod-Domar model".

Which of the above statements is/are correct?

A) Statement I is incorrect, Statement II is correct

B) Both statements I and II are correct

C) Both statements I and II are incorrect

D) Statement I is correct, Statement II is incorrect

Answer: A

Explanation: Statement I is incorrect because "Growth with Social Justice and Equality" was introduced in the 9th Five-Year Plan (1997–2002), not the 10th. Statement II is correct because the First Five-Year Plan (1951–56) was based on the Harrod-Domar model, emphasizing savings and investment for economic growth.

28. Read the below statements: (STENO - 07/08/2025 - SHIFT 1)

Statement I: The Sixth Five-Year Plan aimed at income growth and modernization of technology through various schemes.

Statement II: The Third Five-Year Plan failed due to various factors such as wars, rupee devaluation and food crisis.

Which of the above statements is/are correct?

A) Both statements I and II are incorrect

B) Statement I is correct, Statement II is incorrect

C) Statement I is incorrect, Statement II is correct

D) Both statements I and II are correct

Answer: D

Explanation: The Sixth Five-Year Plan (1980–85) focused on income growth, poverty reduction, technological modernization, and self-reliance. The Third Five-Year Plan (1961–66) was unsuccessful due to wars, severe drought and food crisis, and economic instability, which diverted resources from development to defense and emergency needs.

29. Which of the following Five Year Plan in India tried to build the basis for a socialist pattern of society? (CHSL - 14/11/2025 - SHIFT 1)

a) First

b) Second

c) Tenth

d) Eleventh

Correct Answer: b) Second

Explanation: The Second Five Year Plan focused on heavy industries and socialist pattern of society, based on the Mahalanobis model

30. Which of the following was NOT the goal of five year plans in India? (CHSL - 20/11/2025 - SHIFT 1)

a) Growth

b) Dependency on foreign aid

c) Modernisation

d) Equity

Correct Answer: b) Dependency on foreign aid

Explanation: Dependency on foreign aid was NOT a goal of five-year plans in India. Instead, reducing

dependency on foreign aid and achieving self-reliance was an important objective. The goals were growth, modernization, self-reliance, and equity.

31. Which of the following five year plans in India was a thorough failure in reaching targets due to unforeseen events like Chinese aggression (1962)? (CHSL - 20/11/2025 - SHIFT 1)

a) First
b) Second
c) Third
d) Fifth

Correct Answer: c) Third

Explanation: The Third Five Year Plan (1961-66) in India was a thorough failure in reaching targets due to unforeseen events like the Chinese aggression (1962), the Indo-Pak war (1965), and severe droughts (1965-66).

32. The Hill Area Development Programme was initiated during the _____ five-year plan. (CHSL - 21/11/2025 - SHIFT 3)

a) 10th
b) 8th
c) 5th
d) 7th

Correct Answer: c) 5th

Explanation: The Hill Area Development Programme was initiated during the 5th Five-Year Plan (1974-1979) to address the special needs of hilly and tribal areas through focused development interventions.

33. Who was the architect of Indian Planning? (CHSL - 22/11/2025 - SHIFT 2)

a) Prasanta Chandra Mahalanobis
b) Sardar Vallabh Bhai Patel
c) Manmohan Singh
d) Jay Prakash Narayan

Correct Answer: a) Prasanta Chandra Mahalanobis

Explanation: Prasanta Chandra Mahalanobis was the architect of Indian Planning. He was a statistician and economist who designed India's Second Five-Year Plan and established the Planning Commission's statistical framework.

34. After which of the following Five Year Plans in India, the emphasis on the public sector has become less pronounced? (CHSL - 14/11/2025 - SHIFT 2)

a) First
b) Third

c) Fifth

d) Ninth

Correct Answer: d) Ninth

Explanation: After the Ninth Five Year Plan, liberalisation reduced the dominance of the public sector. Earlier plans strongly promoted public sector expansion.

35. Who among the following was the chairman of the Planning Commission under the Tenth Five Year Plan? (CHSL - 14/11/2025 - SHIFT 2)

a) Atal Bihari Vajpayee

b) I. K. Gujral

c) H. D. Deve Gowda

d) P. V. Narasimha Rao

Correct Answer: a) Atal Bihari Vajpayee

Explanation: The Prime Minister acts as Chairman of the Planning Commission, and Atal Bihari Vajpayee held the post during the Tenth Plan.

36. Who was Prime Minister of India during the Eighth Five Year Plan? (CHSL - 27/11/2025 - SHIFT 1)

a) Morarji Desai

b) Indira Gandhi

c) Chaudhary Charan Singh

d) P. V. Narasimha Rao

Correct Answer: d) P. V. Narasimha Rao

Explanation: The Eighth Five Year Plan (1992–97) was implemented during P. V. Narasimha Rao's tenure, coinciding with major economic reforms.

• LPG reforms introduced

• Shift from central planning

37. The ninth five year plan of India was launched in ____.(CHSL - 27/11/2025 - SHIFT 2)

a) 1985

b) 1992

c) 1997

d) 2003

Correct Answer: c) 1997

Explanation:The Ninth Five Year Plan (1997–2002) focused on growth with social justice and poverty reduction.

• Emphasis on agriculture and rural development

• Introduced human development focus

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38. In India, which two years were known as Annual Plans before the Eighth Five Year Plan was launched? (CHSL - 28/11/2025 - SHIFT 1)

a) 1969–1970, 1970–1971

b) 1974–1975, 1975–1976

c) 1985–1986, 1986–1987

d) 1990–1991, 1991–1992

Correct Answer: d) 1990–1991, 1991–1992

Explanation: Due to economic instability and reforms, India followed Annual Plans during 1990–91 and 1991–92 before launching the Eighth Five-Year Plan (1992–97) under economic liberalization.

39. Who was the Chairperson of the Planning Commission when it was formed? (CHSL - 29/11/2025 - SHIFT 3)

a) Jawaharlal Nehru

b) Morarji Desai

c) Sardar Vallabh Bhai Patel

d) K. Kamaraj

Correct Answer: a) Jawaharlal Nehru

Explanation: Jawaharlal Nehru was the Chairperson of the Planning Commission when it was formed in 1950. As the first Prime Minister, he led India's planned economic development approach.

40. Which of the following Five Year Plan of India commenced at a time when the global economy was going through a second financial crisis? (CHSL - 29/11/2025 - SHIFT 3)

a) First

b) Third

c) Fourth

d) Twelfth

Correct Answer: d) Twelfth

Explanation: The Twelfth Five Year Plan (2012-2017) of India commenced at a time when the global economy was going through a second financial crisis (European debt crisis following the 2008 global financial crisis).

41. Which of the following five year plan of India started in 1969? (CHSL - 30/11/2025 - SHIFT 1)

a) First

b) Second

c) Fourth

d) Sixth

Correct Answer: c) Fourth

Explanation: The Fourth Five Year Plan (1969–74) focused on growth with stability and self-reliance. It was

launched after three Annual Plans.

42. Which of the following was the key issue during the launch of eighth five year plan of India? (CHSL - 30/11/2025 - SHIFT 1)

I. Worsening balance of payment position

II. Rising debt burden

a) Only I

b) Only II

c) Both I and II

d) Neither I and II

Correct Answer: c) Both I and II

Explanation: The Eighth Five Year Plan (1992–97) was launched amid BoP crisis and rising debt burden, and it aligned with economic reforms and liberalisation.

43. What was the reason for the disruption in the Third Five Year Plan? (CHSL - 29/11/2025 - SHIFT 1)

I. Indo-Pakistan Conflict

II. Two successive years of drought

a) Only I

b) Only II

c) Both I and II

d) Neither I

Correct Answer: c) Both I and II

Explanation: The Third Five Year Plan (1961–66) was disrupted due to the Indo-Pak war (1965) and two consecutive drought years, leading to economic instability.

44. What was the growth target for the Twelfth Five Year Plan in India? (CHSL - 29/11/2025 - SHIFT 1)

a) 2%

b) 5%

c) 8%

d) 13%

Correct Answer: c) 8%

Explanation: The Twelfth Five Year Plan (2012–17) targeted 8% economic growth, focusing on inclusive and sustainable development.

45. The planning in the real sense began with _____ five year plan in India. (CHSL - 28/11/2025 - SHIFT 3)

a) Second

b) Fifth

c) Eighth

d) Tenth

Correct Answer: a) Second

Explanation:

The Second Five Year Plan (1956–61) marked real planning with emphasis on industrialisation and the Mahalanobis model. It focused on heavy industries and public sector expansion.

46. In India, the second five year plan ended in which year? (CHSL - 30/11/2025 - SHIFT 2)

a) 1950
b) 1955
c) 1961
d) 1972

Correct Answer: c) 1961

Explanation:

• The Second Five Year Plan ended in 1961.
• It focused on rapid industrialisation and heavy industries.
• The plan followed the Mahalanobis model.
• It laid the foundation for India's industrial base.

47. On whose ideas was the Second Five Year Plan based? (CHSL - 30/11/2025 - SHIFT 3)

a) Chaudhari Charan Singh
b) Sardar Vallabh Bhai Patel
c) K. Kamaraj
d) Prasanta Chandra Mahalanobis

Correct Answer: d) Prasanta Chandra Mahalanobis

Explanation:

● The Second Five Year Plan was based on the Mahalanobis model.
● It emphasized heavy industries and public sector development.
● The plan aimed at rapid industrialization of the economy.
● It laid the foundation for India's industrial base.

48.The second five-year plan was primarily based on which economic model? (CPO 9/12/2025 - SHIFT 1)

A. Harrod-Domar model
B. Feldman model
C. Keynesian model
D. Mahalanobis model

Correct Answer: D) Mahalanobis model

Explanation: The Second Five-Year Plan (1956-1961) was primarily based on the Mahalanobis model, developed by statistician Professor P.C. Mahalanobis, which emphasized rapid industrialization and development of heavy industries.

Key Points:

Second Five Year Plan (1956-1961) designed by P.C. Mahalanobis, Indian statistician

Mahalanobis model focused on heavy industries, capital goods, and import substitution

Plan aimed at establishing basic and heavy industries like steel, machinery, chemicals

Emphasized public sector investment in industrial development

49.How would one characterize the trajectory of India's industrial sector during the Five-Year Plans up to 1990? (CPO 9/12/2025 - SHIFT 1)

A. Consistently surpassing projected growth rates across all sectors

B. Attaining swift technological progress and global competitiveness

C. Showing significant growth in fundamental and heavy industries, but often falling short of targets and facing inefficiencies

D. Being predominantly propelled by private sector innovation and capital infusion, with minimal governmental intervention

Correct Answer: C)

Explanation: India's industrial sector during Five-Year Plans up to 1990 showed significant growth in basic and heavy industries like steel, coal, and machinery, but often fell short of targets and faced inefficiencies due to bureaucratic controls and public sector dominance.

50.Which of the following was a defining feature of India's mixed economy model during the Five Year Plan period? (CPO 9/12/2025 - SHIFT 1)

A. No role for private enterprises

B. Only cooperative farming allowed

C. Coexistence of public sector with regulated private sector

D. Free market–driven liberal economy

Correct Answer: C)

Explanation: India's mixed economy model during the Five Year Plan period featured both public sector enterprises and regulated private sector operating together.

51.Read the following Assertion (A) and Reason (R) carefully and choose the correct option: (CPO 9/12/2025

- SHIFT 2)

Assertion (A): The Third Five Year Plan failed to meet its targets.

Reason (R): The failure was mainly due to external shocks like war and drought.

A. Both A and R are true, and R is the correct explanation of A
B. Both A and R are true, but R is not the correct explanation of A
C. A is true, but R is false
D. A is false, but R is true

Correct Answer: A) Both A and R are true, and R is the correct explanation of A

Explanation: The Third Five Year Plan (1961-66) failed to meet targets primarily due to external shocks: Indo-China War (1962), Indo-Pak War (1965), and severe droughts (1965-66).

52.Read the following Assertion (A) and Reason (R) carefully and choose the correct option: (CPO 9/12/2025 - SHIFT 2)

Assertion (A): The Fourth Five Year Plan aimed at growth with stability and self-reliance.

Reason (R): It was launched after the shocks of war and droughts during the previous plan period.

A. Both A and R are true, and R is the correct explanation of A
B. Both A and R are true, but R is not the correct explanation of A
C. A is true, but R is false
D. A is false, but R is true

Correct Answer: A) Both A and R are true, and R is the correct explanation of A

Explanation: The Fourth Five Year Plan (1969-74) emphasized growth with stability and self-reliance specifically because previous period experienced wars and droughts.

53.Which year marked the beginning of India's First Five-Year Plan? (CPO 10/12/2025 - SHIFT 1)

A. 1949
B. 1950
C. 1951
D. 1952

Correct Answer: C) 1951

Explanation: India's First Five Year Plan began in 1951 and ran from April 1, 1951 to March 31, 1956.

54.Read the following Assertion (A) and Reason (R) carefully and choose the correct option: (CPO 10/12/2025 - SHIFT 1)

Assertion (A): The Minimum Needs Programme (MNP) was introduced in the Fifth Plan.

Reason (R): It targeted improvement in quality of life through education, health, and drinking water.

A. Both A and R are true, and R is the correct explanation of A
B. Both A and R are true, but R is not the correct explanation of A
C. A is true, but R is false
D. A is false, but R is true

Correct Answer

Explanation: The Minimum Needs Programme (MNP) was introduced in the Fifth Five Year Plan (1974-79).

55.The Rural Landless Employment Guarantee Programme (RLEGP) was initiated in the _____ Five-Year Plan. (CPO 11/12/2025 - SHIFT 1)

A. Fourth
B. Fifth
C. Sixth
D. Seventh

Correct Answer: C) Sixth

Explanation: The Rural Landless Employment Guarantee Programme (RLEGP) was initiated in the Sixth Five Year Plan (1980-85). It aimed to provide guaranteed employment to at least one member of every landless labor household in rural areas for 100 days per year.

Key Points:

Launched August 15, 1983
Predecessor to later employment guarantee schemes
Focused on rural infrastructure: roads, minor irrigation, soil conservation
Later evolved into Jawahar Rozgar Yojana (1989) and eventually MGNREGA (2005)

56.The 7th Five-Year Plan is credited with laying the foundation for which of the following major economic reforms in India? (CPO 11/12/2025 - SHIFT 1)

A. Nationalization of banks
B. Green Revolution
C. Economic liberalization and modernization in the 1990s
D. National Rural Employment Guarantee Act

Correct Answer: C) Economic liberalization and modernization in the 1990s

Explanation: The Seventh Five Year Plan (1985-90) laid the foundation for economic liberalization by introducing reforms in trade policy, industrial licensing, and public sector management. It emphasized modernization, self-reliance, and productivity, creating the groundwork for the comprehensive 1991 LPG reforms. Key Points:

Seventh Plan (1985-1990) emphasized: food, work, productivity

Introduced partial liberalization: industrial deregulation began
Technology Mission launched (oilseeds, pulses, cotton)
Created environment for 1991 economic reforms

57.Which of the following Five-Year Plans marked a strategic transition in India's economic policy, shifting the primary focus from agriculture to the development of heavy industries and industrialization? (CPO 12/12/2025 - SHIFT 1)

A. First Five-Year Plan
B. Second Five-Year Plan
C. Fourth Five-Year Plan
D. Fifth Five-Year Plan

Correct Answer: B) Second Five-Year Plan

Explanation: The Second Five-Year Plan (1956-1961) marked a strategic transition in India's economic policy, shifting primary focus from agriculture to heavy industries and industrialization. Based on the Mahalanobis model, it prioritized development of basic and heavy industries, public sector growth, and import substitution.

Key Points:
Second Plan (1956-1961) based on P.C. Mahalanobis model
Focus shifted to: iron & steel, heavy engineering, machine tools, fertilizers
Major projects: Bhilai, Durgapur, Rourkela steel plants
Public sector given "commanding heights" of economy

58.Which of the following Five-Year Plans in India was notably criticized for its substantial dependence on foreign loans to finance the import of machinery and capital goods?(CPO 12/12/2025 - SHIFT 1)

A. Second Five-Year Plan
B. Fourth Five-Year Plan
C. Sixth Five-Year Plan
D. Eighth Five-Year Plan

Correct Answer: A) Second Five-Year Plan

Explanation: The Second Five-Year Plan was notably criticized for substantial dependence on foreign loans and aid to finance imports of machinery and capital goods needed for heavy industrialization. The ambitious industrial targets required massive capital investment and technology imports, creating balance of payments pressures.

Key Points:
Heavy industry focus required expensive imported machinery
Foreign exchange crisis developed mid-plan
Relied on foreign aid from USSR, USA, World Bank

Led to devaluation of rupee and revised targets

59.During India's Third Five-Year Plan, which of the following significant events posed major challenges to industrial and trade development? (12 DEC S2)

A. Global economic recession, severely impacting Indian exports

B. Major wars and droughts leading to resource constraints

C. Initiation of economic liberalization policies attracting foreign investment

D. Implementation of the Green Revolution shifting focus towards agriculture

Correct Answer: B) Major wars and droughts leading to resource constraints

Explanation: India's Third Five-Year Plan (1961-1966) faced severe challenges due to the Indo-China War (1962), Indo-Pakistan War (1965), and severe droughts in 1965-66. These events strained resources, diverted funds to defense, and caused agricultural crisis, leading to the plan's failure. Key Points:

Employment in agriculture: 70-72% (1951) → 64% (1991)

Industrial employment grew slowly: 10% → 13%

Service sector: 17% → 23%

Jobless growth and underemployment remained challenges

60. With reference to the Second Five-Year Plan in India, consider the following statements: (UPSC Prelims 2018)

1. It emphasized development of heavy and capital goods industries.

2. It was based on the Mahalanobis growth model.

3. It gave highest priority to agriculture and irrigation.

Which of the statements given above are correct?

a) 1 and 2 only

b) 2 and 3 only

c) 1 and 3 only

d) 1, 2 and 3

Answer: A

Explanation: The Second Plan was based on the Mahalanobis growth model, emphasizing heavy and capital goods industries.

Major public sector projects like Bhilai, Rourkela, and Durgapur steel plants were established.

The strategy aimed to build a strong industrial base and achieve long-term self-reliance.

Compared to the First Plan, agriculture received relatively lower priority as industrialization became the focus.

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61. With reference to the Fourth Five-Year Plan (1969–74), consider the following statements: (UPSC Prelims 2017)

1. It aimed at growth with stability and progress toward self-reliance.
2. It emphasized controlling inflation and reducing concentration of wealth.

Which of the statements given above is/are correct?

a) 1 only

b) 2 only

c) Both 1 and 2

d) Neither 1 nor 2

Answer: C

Explanation: The Fourth Plan adopted the objectives of "growth with stability" and progress toward self-reliance.

It aimed to control inflation while maintaining steady economic growth.

The plan also focused on reducing concentration of wealth and economic power to promote social equality.

This approach aligned with reforms like the nationalization of 14 major banks in 1969.

62. With reference to the Ninth Five-Year Plan (1997–2002), consider the following statements: (UPSC Prelims 2015)

1. It emphasized growth with social justice and equality.
2. It focused on agriculture and rural development.

Which of the statements given above is/are correct?

a) 1 only

b) 2 only

c) Both 1 and 2

d) Neither 1 nor 2

Answer: C

Explanation: Statement 1 is correct: The plan emphasized "Growth with Social Justice and Equality" to ensure that economic development benefits reach weaker and marginalized sections of society.

Statement 2 is correct: It gave high priority to agriculture and rural development to generate employment and reduce poverty.

The strategy focused on strengthening rural infrastructure and improving farm productivity.

Thus, the plan aimed at inclusive growth with poverty reduction and food security.